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3. Interest on bank deposits is

(a) Capital receipt

(b) Revenue receipt

(c) Capital expenditures

(d) Revenue expenditures

4. Amount received from IDBI as a medium term loan for augmenting working capital

(a) Capital expenditures

(b) Revenue expenditures

(c) Revenue receipts

(d) Capital receipt

5. Revenue expenditure is intended to benefit

(a) Past period

(b) Future period

(c) Current period

(d) Any period

6. Pre-operative expenses are

(a) Revenue expenditure

(b) Prepaid revenue expenditure

(c) Deferred revenue expenditure

(d) Capital expenditure

Answers

1 (a)	2 (c)	3 (b)	4 (d)	5 (c)	6 (d)

II Very short answer questions

1. What is meant by revenue expenditure?
2. What is capital expenditure?
3. What is capital profit?
4. Write a short note on revenue receipt.
5. What is meant by deferred revenue expenditure?